

DLC and DRA Advisors Pay \$95M for Omaha Mall as Institutional Capital Returns to Retail

\$95 million

Key figure

On May 28, 2026, a joint venture between DLC Management Corp. and DRA Advisors closed on Shadow Lake Towne Center, a 640,327-square-foot regional shopping center in Papillion, Nebraska, for \$95 million. The seller was PREP Property Group.

Inside the \$95 million deal

\$95 million

Key figure

\$148

Implied basis

\$250

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2026, a joint venture between DLC Management Corp

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Tenants include Dick's Sporting Goods, JCPenney, T.J

Shadow Lake Towne Center sits on 83.5 acres and was 89 percent occupied at closing. Tenants include Dick's Sporting Goods, JCPenney, T.J. Maxx, Burlington, HomeGoods, Michaels, and Ross Dress for Less. A Hy-Vee grocery store on the site was excluded from the sale.

The price implies roughly \$148

The price implies roughly \$148 per square foot on the total square footage. For a center with 89 percent occupancy and a tenant roster dominated by national credit names, that is a discount to replacement cost. New construction in the Omaha MSA would likely exceed \$250 per square foot for a comparable power center.

DLC Management and DRA Advisors are not new to retail

DLC Management and DRA Advisors are not new to retail. DLC, based in Tarrytown, New York, owns and manages over 130 shopping centers across the eastern U.S. DRA Advisors, a New York-based real estate investment manager, has been a consistent buyer of necessity-based retail throughout the post-pandemic cycle.

The acquisition signals

The acquisition signals that institutional capital is willing to underwrite retail assets with strong occupancy, national tenants, and dominant market positions. Shadow Lake Towne Center is the dominant regional center in the Omaha submarket of Papillion, which has seen population growth of 12 percent since 2020, per Census data.

The sale price of \$95 million represents a cap rate in the high-7 percent to low-8

PREP Property Group, the seller, is a private real estate firm based in Omaha. The firm developed Shadow Lake Towne Center in phases beginning in 2005. The sale price of \$95 million represents a cap rate in the high-7 percent to low-8 percent range, based on typical net operating income assumptions for a center of this size and occupancy in the Midwest.

That yield is attractive relative to alternative fixed-income investments

That yield is attractive relative to alternative fixed-income investments. The 10-year Treasury yield on May 28, 2026, was approximately 4.35 percent. A retail center with 89 percent occupancy and national tenants offers a spread of 300 to 350 basis points over risk-free rates. That is the kind of risk-adjusted return that draws institutional capital back to retail.

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The exclusion of the Hy-Vee grocery store from the sale is notable. Grocery-anchored centers trade at lower cap rates than non-grocery-anchored centers, often in the 6 to 7 percent range. By carving out the grocery component, PREP likely achieved a higher blended price on the remaining square footage, while retaining a high-quality asset with its own income stream.

The 11 percent vacancy represents roughly 70,000 square feet of leasable space

For DLC and DRA, the acquisition adds a large-format retail asset with significant embedded upside. The 11 percent vacancy represents roughly 70,000 square feet of leasable space. In a submarket with limited new supply and growing population, that vacancy is an opportunity to push rents above the in-place average.

The deal also reflects a broader shift in capital allocation

The deal also reflects a broader shift in capital allocation. After years of avoiding retail, institutional investors are now targeting dominant, well-located centers with strong occupancy and national tenants. Shadow Lake Towne Center fits that profile. The \$95 million price tag is a bet that the retail apocalypse narrative is over, and that the survivors will thrive.

Why it matters

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